*know if the stock rise from 2000 to 2100 in that month your net loss will be 2100-2000=100*125=12500 rs and*

*2000-1950=50*125=6250 rs*

# ***Option market***

*Options:*

*An Option is a contract which gives the right, but not an*

*Obligation, to buy or sell the underlying at a stated date and at a stated price. While a buyer of an option pays the premium and buys the right to exercise his option, the writer of an option is the one who receives the option premium and therefore obliged to sell/buy the asset if the buyer exercises it on him.*

*Options are of two types - Calls and Puts options:*

*'Calls' give the buyer the right but not the obligation to buy a given*

*Quantity of the underlying asset, at a given price on or before a given*

*Future date.*

*'Puts' give the buyer the right, but not the obligation to sell a given*